ECONOMIC SURVEYS BY THE OECD

UNITED STATES

NOVEMBER 1962

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

UNITED STATES

BASIC STATISTICS

THE LAND

Area - Continental United States, plus Hawaii and Alaska (thousand sq. km.)	9,363

Population of major cities, including their metropolitan areas (1960):

— New York	10,695,000
— Chicago	6,221,000
— Los Angeles-Long Beach	6,743,000

THE PEOPLE

Population (July 1961)	183,742,000
Number of inhabitants per sq. km.	20
Population, annual net natural increase (average 1956-1960)	2,943,000
Net rate of annual increase per 1,000 inhabitants (average 1956-1960)	17
Labour force, including armed forces, 1961	74,175,000
— Of which: employed in agriculture	5,463,000
Net civilian immigration (annual average 1956-1960)	314,000

PRODUCTION

Gross national product in 1961 (billions of U.S. dollars)	518.7
G.N.P. per head (U.S. dollars)	2,823
Gross fixed capital formation:	
— per cent of G.N.P. (average 1957-1961)	14
— per head (U.S. dollars, average 1957-1961)	365

Origin of national income in 1961:

— Agriculture, forestry and fishing	4 %
— Manufacturing	28 %
— Construction	5 %
— Other	63 %

THE GOVERNMENT

Public consumption, 1961 (per cent of G.N.P.)	21
Public construction activity, 1961 (per cent of G.N.P.)	3
Current revenue of Federal, state and local governments, 1961 (per cent of G.N.P.)	29
Federal Government debt to Federal Government revenue, 1961 (per cent)	301

Composition of the 88th Congress, 1963:

	House of Representatives	Senate
Democrats	259	68
Republicans	176	32
Total	435	100

LIVING STANDARDS

Food consumption, calories per head per day, 1961	3,190
Consumption of energy per head 1960 (O.E.E.C. average = 100)	307
Steel consumption, apparent, 1960 (kgs per head)	501
Average hourly gross earnings in manufacturing, 1961 (U.S. dollars)	2.32
Number of passenger cars in use per 1,000 inhabitants, 1960	312
Number of telephones in use per 1,000 inhabitants, 1961	418

FOREIGN TRADE

Exports:

Exports of goods and services as per cent of G.N.P. (average 1957-1961)	5.2
Main exports 1961 (per cent of total merchandise exports):	
— Cotton	4
— Grains	9
— Automobiles and parts	6
— Chemicals	8
— Machinery	23

Imports:

Imports of goods and services as per cent of G.N.P. (average 1957-1961)	4.7
Main imports 1961 (per cent of total merchandise imports):	
— Coffee	7
— Non-ferrous ores, metals and manufactures	7
— Newsprint	5
— Petroleum and products	11

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The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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UNITED STATES

1. In contrast to the earlier post-war period, the United States economy in the last few years has been marked by a slow rate of growth and an uncomfortably large external deficit. The balance of payments has improved in the last eighteen months; but the recent course of domestic activity has remained disappointing, with the recovery slowing down at an early stage, well short of full employment conditions. These circumstances have naturally led to intensive discussion of the combination of policies appropriate, particularly in the fiscal and monetary fields, to achieve faster growth and external equilibrium, and this is the main topic of the present report. Part I, which reviews the major trends in domestic activity and foreign payments, seeks to highlight the problems which policy needs to solve. Part II discusses the role that fiscal and monetary policies should play to this end.

I. THE PROBLEMS TO BE SOLVED

2. The dissatisfaction with the record of the last few years which is so often expressed should not be allowed to hide the fact that, in the post-war period as a whole, the United States has enjoyed a growth rate which compares favourably with the longer-term trend. Since the beginning of the century the real gross national product has risen at an average annual rate of about 3 per cent a year. Between 1947 and 1961, the average rate of increase was about 3.5 per cent. But the expansion slowed down considerably in the latter part of this period, and the latest cyclical upturn has done little to change the weak trend of recent years.

a) *The 1953-1961 Period*

3. Since 1953, the expansion of output has been modest compared both with previous years and with the experience of other industrialised countries. The United States' real gross national product has been rising by 2.5 per cent a year only, compared with a rate of more than 4.5 per cent in the 1947-1953 period. Between 1953 and 1961 the real gross national product of Western Europe rose by 4.5 per cent a year; the

output of the Common Market countries has been rising at an annual rate of about 5.5 per cent.

4. There is of course little reason why all countries should necessarily achieve the same rate of growth. The record may be influenced by differences in resources, preferences, stages of development, and starting positions, particularly over shorter periods. But the expansion in the United States has been modest in relation to the potential of the U.S. economy itself.

5. The extent to which the growth rate has fallen short of what might be considered both possible and reasonable, can be measured variously. Unemployment, comparing the rates prevailing at earlier cyclical peaks, rose from a seasonally adjusted rate of 2.6 per cent of the labour force in July 1953 to 4.2 per cent in July 1957 and to 5.1 per cent in May 1960. A less traditional indicator, which relates time lost through unemployment and involuntary part-time work to the total man-hours potentially available, suggests that unused labour has been even higher than the unemployment ratio reveals. Capacity utilisation in manufacturing industry declined from about 92 per cent in late 1955 to 86 per cent in early 1960, compared with a preferred rate of about 90 per cent.

6. While actual output rose by only 2.5 per cent a year from 1953 to 1961, the economy's productive capacity is estimated to have been growing at an annual rate of about 3.5 per cent.* This, however, is a minimum estimate of the extent to which the actual performance of the economy has fallen short of its potential. The 3.5 per cent rate of capacity expansion has been achieved in conditions of considerable slack; productive capacity would surely have risen faster if the economy had been operating steadily at full employment, with demand pressing more strongly on capacity; this would have represented an important new force in the economy, raising the rate of growth and stimulating a more rapid modernisation of the capital stock.

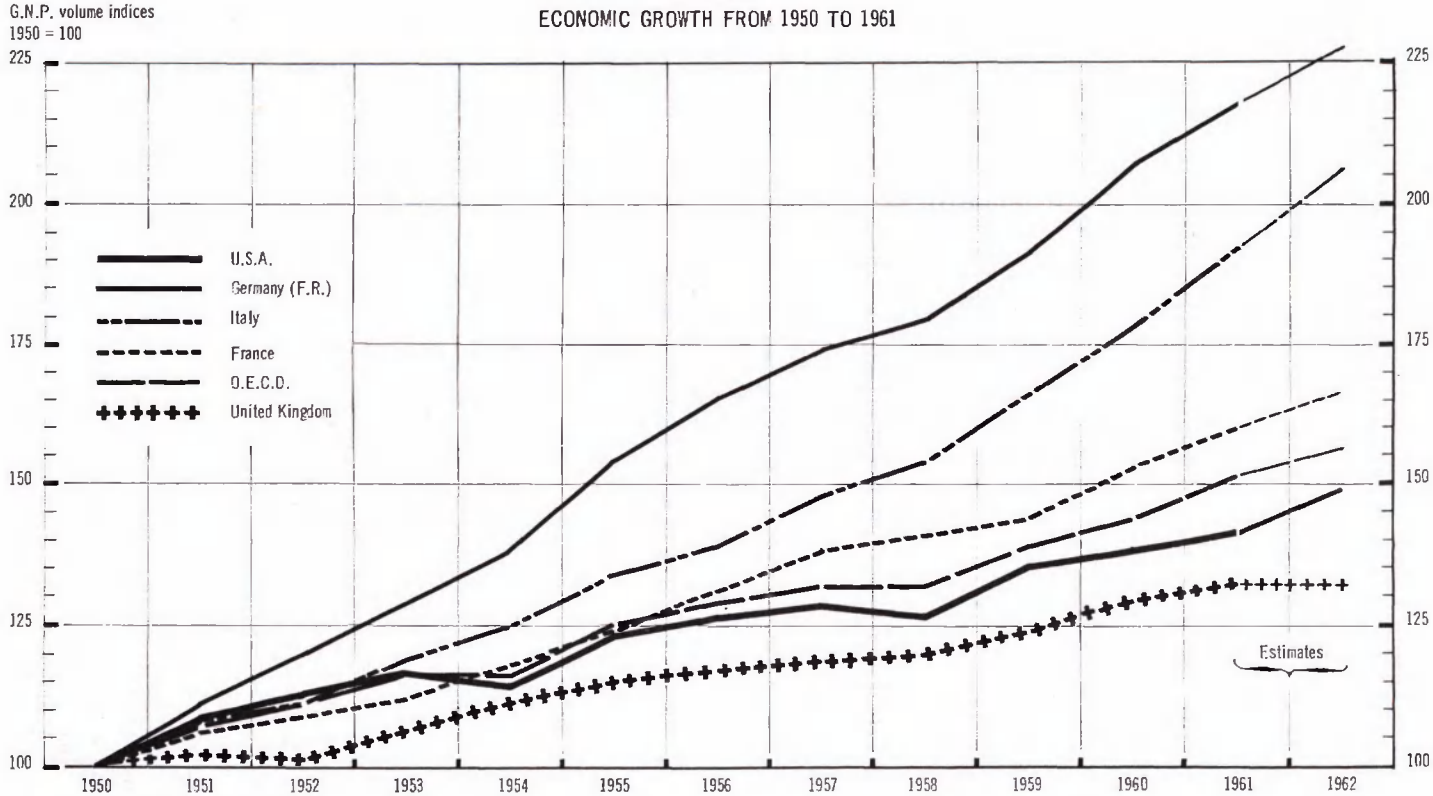
7. Throughout the past decade the ratio of business fixed investment to gross national product has been lower than in most other industrialised countries. The physical volume of U.S. business fixed investment in the first half of 1962 (annual rate) was 3 per cent lower than in 1956 or 1957, the post-war peak.

8. The expansion of activity has been particularly disappointing since 1957. The 1958-1960 recovery was shorter and weaker than the two preceding upturns. And the latest recovery has slowed down considerably at a rather early stage, well short of full employment conditions.

* Estimated by the Council of Economic Advisers.

Diagram 1

ECONOMIC GROWTH FROM 1950 TO 1961



Source: General Statistics (O.E.C.D.).

Table 1. **Fixed Investment Rates in the United States and Europe, 1951-1960** [1)]

Per cent of gross national product

	1951-55	1956-60	1960
Total fixed investment, excluding residential construction :			
United States	12.0	11.6	11.2
E.E.C.	14.1	15.8	16.6
United Kingdom	10.5	12.8	13.6
Machinery and Equipment :			
United States	6.0	5.4	5.1
E.E.C.	8.9	10.2	10.8
United Kingdom	6.9	8.2	8.7

1. Constant (1954) prices and exchange rates ; excluding government investment in machinery and equipment.

Source : O.E.C.D. General Statistics.

b) *Current Trends*

9. The recovery which began early in 1961 was, for some months, a rapid one. Between the first and last quarters of the year, the real gross national product rose at an annual rate of 9 per cent. But the rate of expansion slowed down to only about 3 per cent in the first half of 1962, despite the fact that physical scope for further advance was still substantial; at mid-year manufacturing output was only 87 per cent of capacity and unemployment was above 5 per cent. The Council of Economic Advisers had estimated that the gap between potential and actual output might be narrowed from 10 per cent in the first quarter of 1961 to some 3 per cent in the second quarter of 1962. But the disappointing rate of advance in the first half of 1962 left the gap at mid-year still close to 6 per cent.

10. Expectations at the beginning of the year were that business fixed capital formation would rise much faster than in 1961 and, in the second half of the year, become the main dynamic element behind the expansion ; the assumptions on which this view was based included an improving rate of capacity utilisation, a strong increase in profits and depreciation allowances, an early enactment of the tax credit for investment, and relatively stable interest rates and adequate liquidities. Other types of investment expenditure – residential construction and inventory accumulation – were expected to rise less fast in 1962 than in 1961, and to remain relatively stable in the second half of the year. It was thought that government expenditure on goods and services would continue to rise steadily, and that personal consumption would increase in line with total non-consumption expenditure, with little change in the savings ratio.

11. The failure of total demand to rise as much as expected in the first half of 1962 largely reflected smaller-than-expected trends in inventory accumulation and disappointing expansion in business fixed investment. Government expenditures also increased more slowly than envisaged, notably at the State and Local level, but this was probably a temporary movement which will be corrected in the second half of the year. Residential construction and personal consumption more or less conformed to official expectations.

Table 2. **Gross National Product and Expenditures 1961-1962**
Seasonally adjusted annual rates

Billions of U.S. dollars at 1961 prices

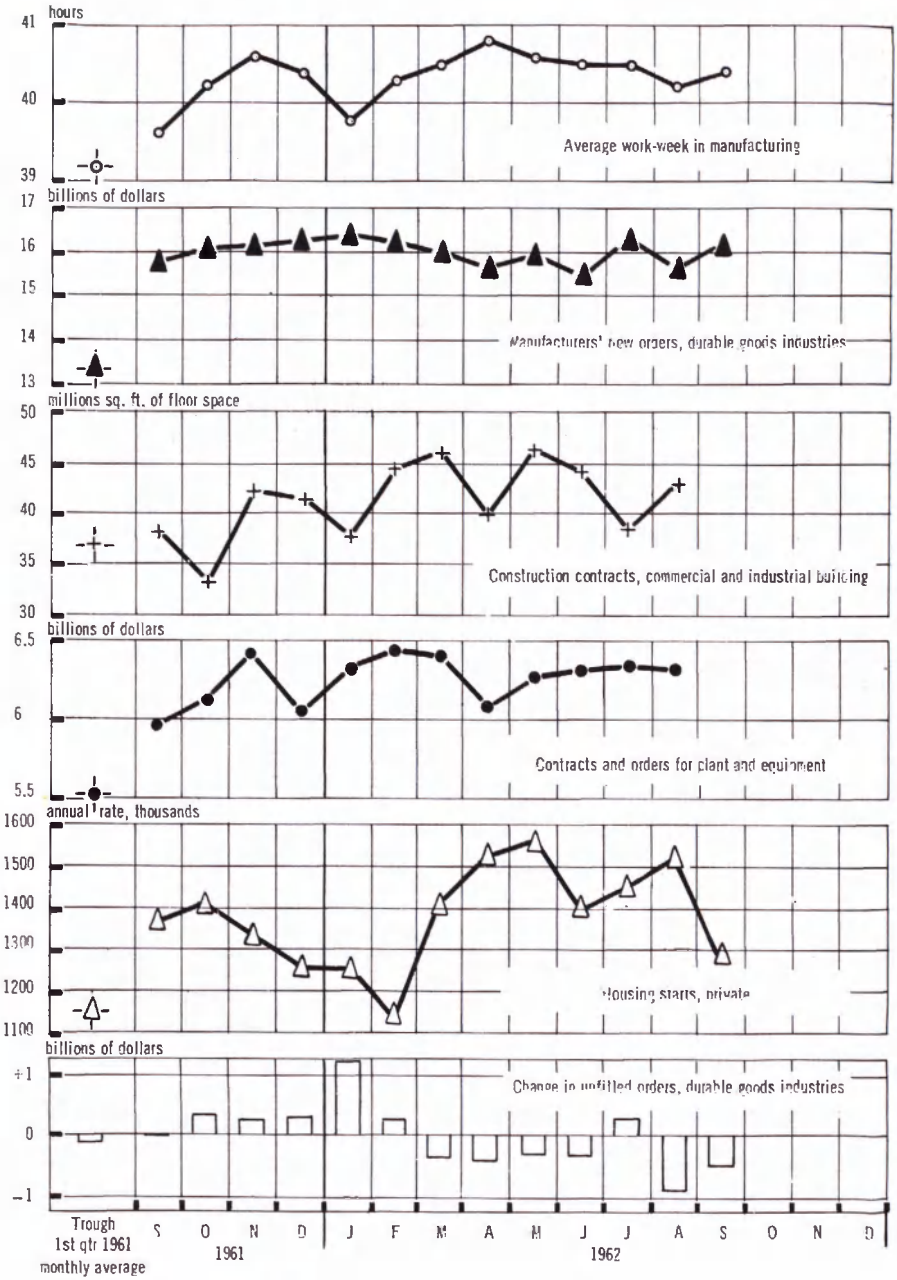
	1961				1962		
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
Personal consumption	331.1	336.0	339.9	345.0	348.6	351.9	n.a.
Government expenditure ...	105.1	106.5	106.6	111.6	113.8	114.1	n.a.
Gross private domestic investment : total	60.2	67.7	72.3	76.6	75.6	76.6	n.a.
of which :							
New construction.....	39.5	41.0	42.5	43.1	41.4	43.8	n.a.
Producers' durable equipment	24.3	24.5	25.8	27.5	27.6	28.8	n.a.
Change in inventories ..	−3.6	2.1	4.0	6.0	6.9	4.0	n.a.
Net exports	5.9	3.7	2.9	3.6	3.5	2.9	n.a.
GNP	502.4	513.9	521.7	536.8	541.5	545.6	549.0
Potential GNP	552.6	557.4	561.2	567.1	572.0	576.9	582.0
Gap between actual and potential GNP.....	50.2	43.5	39.5	32.3	30.5	31.3	33.0
Gap, per cent of GNP	10.0	8.5	7.8	5.6	5.6	5.7	6.0

Source : Survey of Current Business and Council of Economic Advisers.

12. In the spring most of the leading indicators, including new orders, turned down. Although some indicators showed a better tendency in the summer, they did not suggest forces likely to produce any very strong revival of expansion in the near future. The latest survey of the Department of Commerce and the Securities and Exchange Commission suggests that business fixed investment will continue to rise moderately in the second half of 1962. (The survey was taken after the introduction of more liberal depreciation allowances in July, but before the enactment of the investment tax credit). Similarly, the Department of Commerce survey of manufacturers' inventory plans suggests that inventory demand

Diagram 2

SIGNIFICANT LEADING INDICATORS, 1961-1962



Source: Business Cycle Developments.

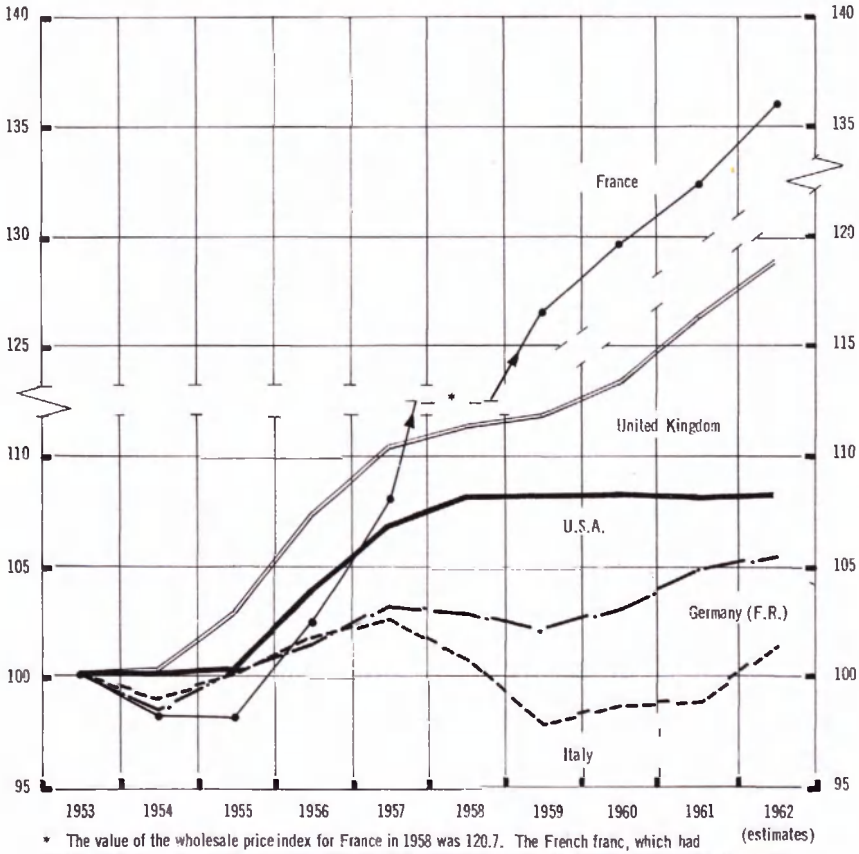
should rise in the second half of the year. Nevertheless, business investment, as a whole, will probably be less buoyant than expected earlier, and residential construction is unlikely to rise much. With government expenditure continuing to increase, and little change in net exports, a rather moderate rise in total non-consumption expenditure should be maintained, with a similar increase in personal consumption. On this basis, the U.S. authorities expect the real gross national product to rise at a rate perhaps lower than in the first half of the year, possibly increasing the gap between actual and potential output.

PRICES AND WAGES

13. After the inflation due to the Korean war had spent itself, the rise in prices in the United States was concentrated in a relatively short period,

Diagram 3

WHOLESALE PRICES IN SELECTED COUNTRIES, 1953-1962



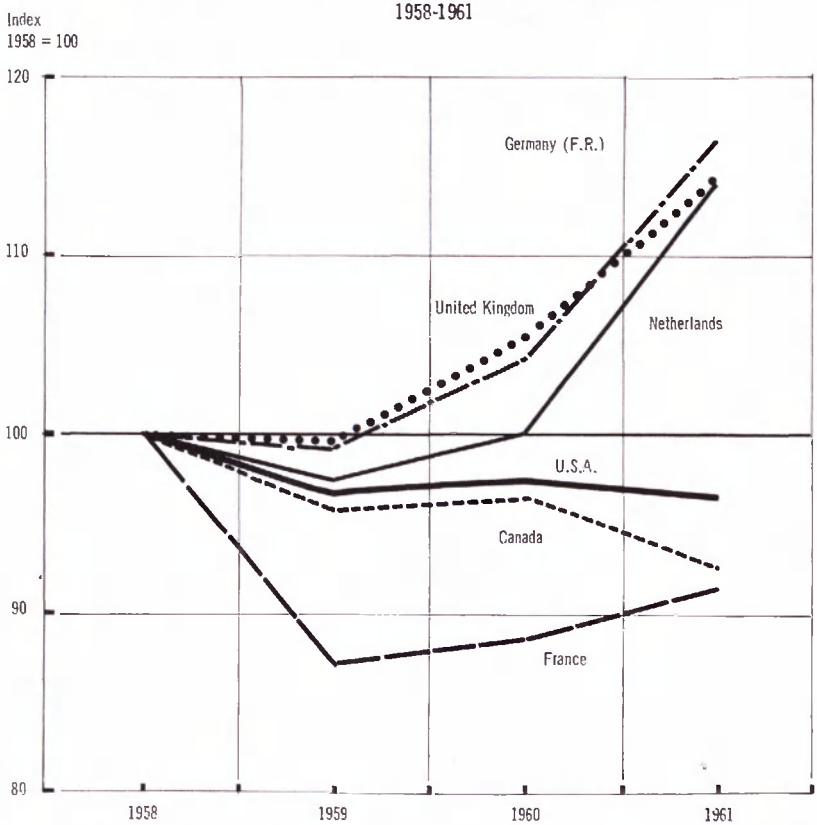
* The value of the wholesale price index for France in 1958 was 120.7. The French franc, which had already declined in value by 20 per cent in 1957, was further devalued by approximately 17 per cent at the end of 1958.

Source: O.E.C.D. General Statistics.

the three years 1955-1957. The general level of prices did not rise faster than in other industrialised countries; but the increase was particularly marked in the durable goods industries, which spearheaded the boom. About three-fourths of the 1955-1958 rise in the index of wholesale industrial prices was directly attributable to price increases in metals and metal products and machinery and automotive products, including motor vehicles, and in these sectors U.S. price rises did outstrip those in other countries. The report on "The Problem of Rising Prices" prepared for the O.E.E.C. by a group of experts in 1961, pointed out that between 1953 and 1959 wholesale prices of machinery and automotive products rose by 24 per cent in the United States and by less than 10 per cent in Europe.

Diagram 4

WAGE AND SALARY COSTS PER UNIT OF OUTPUT IN MANUFACTURING*
1958-1961



* Because of the differences in the coverage of the basic data, this diagram can only be regarded as providing a rough indication of the relative movement of labour costs.

Source: National official statistics.

14. Since mid-1958 commodity prices at both wholesale and retail level have been generally stable. There has been no further significant increase in metal and machinery prices. Virtually the only sector where prices have continued to rise has been consumers' services. This record of price stability which contrasts with the experience of previous recovery periods, has no doubt been partly attributable to the existence of widespread excess capacity. It has led to a substantial improvement, in the last three years, in the international cost position of U.S. industry; in America unit labour costs have remained practically stable while they have been rising sharply in a number of European countries.

BALANCE OF PAYMENTS

15. With the single exception of 1957, the United States balance of payments has been in deficit in every year since 1949. Prior to 1958, the deficit* averaged $1.3 billion a year and did not create problems; on the contrary, a redistribution of the very large reserves accumulated by the United States before and during the second World War was clearly desirable. But since 1958, the deficits have been much larger; in the three-year period 1958-1960 they averaged $3.7 billion. Although the United States international liquidity position is still strong, it would clearly not be possible to sustain that rate of deficit for long.

16. The weakening of the U.S. balance of payments cannot be ascribed to any single cause. In addition to changes in the relative competitive position, several other factors should be noted. The establishment of external currency convertibility by most European countries at the end of 1958 removed an important barrier to international capital flows. Fast growth in Europe and slack conditions in the United States have led to a sharp increase in the outflow of U.S. direct capital, a tendency reinforced by the establishment of the European Economic Community with its promise of a large, rapidly growing, tariff-free market in Europe. Until 1961, foreign aid and military expenditure abroad, taken together, represented an increasing burden on the balance of payments. And the sharper rise between 1955 and 1958 of certain key prices in the United States than in most other industrialised countries weakened the competitive position of certain U.S. goods.

17. Over the last two years the balance of payments has improved substantially. The overall deficit fell to $2.5 billion in 1961 and $1.4 billion, at a seasonally adjusted annual rate, in the first half of 1962. The deficit on the basic balance – i.e. excluding short-term capital and unrecorded transactions – fell from an average of $3.3 billion a year in

* Defined as the decline in official holdings of gold and convertible currencies plus the increase in liquid dollar liabilities.

1958-1960 to $0.6 billion (seasonally adjusted annual rate) in the first half of 1962 (and for the year 1961 was $0.4 billion). Although developments over the last two years have been affected by certain temporary and special influences, there can be little doubt that the underlying position has improved. While quarter-to-quarter movements may be irregular, current efforts should lead to a continuation of the better trend.

Table 3. **Balance of Payments, 1950-1962**

Billions of U.S. dollars

	Average 1950-57	Average 1958-60	1961	1962 First half *(seasonally adjusted annual rates)*
Exports f.o.b.	14.2	17.3	19.9	20.8
Imports f.o.b.	11.3	14.3	14.5	15.9
Trade balance	2.9	3.0	5.4	4.9
Invisibles, net	1.9	2.0	2.3	2.9
BALANCE ON GOODS AND SERVICES	4.8	5.0	7.7	7.8
Military expenditures	– 2.2	– 3.2	– 2.9	– 3.0
Military sales	0.2	0.3	0.4	0.9
Official grants and official capital	– 2.9	– 3.3[1]	– 4.1	(– 3.8)
Remittances and pensions	– 0.6	– 0.8	– 0.9	– 0.9
Official amortization	0.4	0.8	1.3	0.7
U.S. private long-term capital	– 1.4	– 2.4	– 2.5	– 2.7
Direct investment	– 1.0	– 1.3	– 1.5	n.a.
New issues	– 0.3	– 0.7	– 0.5	n.a.
Redemptions	+ 0.2	+ 0.1	+ 0.1	n.a.
Other	– 0.2	– 0.4	– 0.6	n.a.
Foreign long-term capital[2]	+ 0.3	+ 0.3	+ 0.5	+ 0.4
BASIC BALANCE	– 1.3	– 3.3	– 0.4	(– 0.6)
Private short-term capital[2]	– 0.2	– 0.6	– 1.4	– 0.7
Errors and omissions	+ 0.4	+ 0.1	– 0.6	– 0.1
OVERALL BALANCE (changes in holdings of gold and convertible currencies, and in liquid dollar liabilities)	– 1.3	– 3.7	– 2.5	– 1.4

1. Excluding U.S. subscription of $1.4 billion to IMF in 1959.
2. Excluding changes in foreign liquid dollar holdings.

N.B. Components may not add to totals because of rounding.

Sources : Survey of Current Business; The Economic Almanac.

18. The trade balance has been strongly influenced by cyclical developments in the United States and abroad (see Table 4). The sharp increase in the merchandise surplus between the second quarter of 1960 and the first quarter of 1961 reflected falling activity in the United States and continuing boom conditions in Europe and Japan. The subsequent decline in the surplus was caused by a cyclical increase in U.S. imports, and not by a deterioration of the underlying position. On the contrary, imports are lower in relation to the gross national product than during the corresponding period of the 1958-1960 expansion. And exports have continued to grow rather fast even though the Japanese and Latin American markets – which between them take a quarter of U.S. exports – have been weak in 1962. Only a part of the rise in exports over the past two years has been due to increased procurement under U.S. Government foreign economic assistance programmes.

Table 4. **Trade Balance**

Seasonally adjusted annual rates

Billions of U.S. dollars

	1959 2nd QTR. *(5 qtrs. after recession trough)*	1960 2nd QTR. *(Peak of recovery)*	1961 1st QTR. *(Recession trough)*	1962 2nd QTR. *(5 qtrs. after recession trough)*
Exports	15.7	19.5	20.2	21.4
Imports	15.5	15.3	13.5	16.1
Trade balance . .	0.2	4.2	6.8	5.3
Imports as per cent of GNP	3.2	3.0	2.7	2.9

N.B. : Totals do not add because of rounding.

Source : Survey of Current Business.

19. The improvement of the merchandise balance has no doubt been related to the strengthening of the U.S. cost position over the last three years, and the full effect of this may not yet have been seen. Although the recent devaluation of the Canadian dollar may have some adverse impact on U.S. exports, the persistent upward trend in European costs points to a further strengthening of the U.S. competitive position. Moreover, the effect of the expanded programme of export credits and guarantees introduced last year will be increasingly felt. With continued expansion in Europe and some relaxation of demand restrictions in Japan, the short-term outlook is for a further increase in exports, even though sales to North and Latin American markets may not rise much. The

development of imports will depend very much on the course of domestic activity. On present trends, and with exceptionally large imports of copper, iron and steel in the first half of the year, imports are unlikely to rise very considerably in the near future.

20. Net invisible receipts, excluding military transactions, rose in 1961 and the first half of 1962 largely because of higher earnings from foreign investment; such receipts are not likely to change much over the next year.

21. Net government payments to foreigners have remained large, but are likely to decline as a result of the measures taken over the past year to reduce the balance of payments impact of military expenditures and foreign aid. Net military expenditure, taking into account growing receipts from foreign military purchases in the United States, should decline. Net government grants and credits are likely to remain high or rise, but the share of foreign aid resulting in a direct dollar outflow is declining ; it fell from 31 per cent to 27 per cent between the first quarters of 1961 and 1962. And prepayments of debt by foreign governments helped the balance of payments again in 1962 as they had in 1961, reducing the net outflow of official capital; in July, France and Italy made advance debt repayments totalling $471 million.

22. Movements of private capital are particularly volatile. In 1961, the outflow of short-term U.S. private capital rose slightly. The lower outflow of short and long-term capital (taken together) in the first half of 1962 largely reflected temporary uncertainties about the Canadian dollar; direct and portfolio investment by the U.S. in countries other than Canada was higher than a year earlier, reflecting *inter alia* a large volume of foreign issues in New York. The direct investment outflow may rise again in the second half of the year with the stabilisation of the Canadian dollar. But so far as portfolio capital is concerned, the outflow should decline even though Canadian borrowing in the New York market has been resumed.

23. The outflow of short-term funds (including unrecorded transactions) remained at about $2 billion in 1961, the same as in 1960, but fell to an annual rate of $0.8 billion in the first half of 1962, largely because of a reflux of funds from Canada. The outflow to other areas remained relatively high, with large bank loans to Japan in the first quarter. In the second half of the year a reversal of the net short-term outflow from Canada has occured. The volume of export credits may rise as a result of the expanded programme introduced last year. But this should be a temporary movement until the amount of such credit has been built up to a higher and revolving volume ; and it should lead to higher exports. Other bank lending abroad will clearly depend on demand for credit in the United States; when there is strong demand at home,

U.S. banks tend to be less active in foreign lending. While there are indications that the short-term capital outflow in the second half of 1962 will remain high – it may even rise – its composition is likely to change. The relative importance of export financing and other non-speculative flows may increase; with the better trend in the basic balance, the speculative element would seem likely to diminish.

24. The U.S. overall balance was affected favourably by the worsening of the Canadian exchange situation in the first half of the year and particularly in the second quarter. It was affected unfavourably in the third quarter as the Canadian situation improved as a result of measures taken by the Canadian authorities. The overall deficit for the first three quarters was approximately $1.9 billion on an annual basis (seasonally adjusted).

25. The United States has, in brief, made considerable progress in the last two years towards better balance, and if cost and price stability is maintained, a further improvement is to be expected. Moreover, there has been a growing realisation that the correction of international payments imbalance and the effective functioning of the world monetary system is the responsibility of all Governments concerned, those of debtor and creditor countries alike. In the last two years a high degree of international consultation and cooperation has been developed. The U.S. liquidity position has been strengthened by foreign lending and large prepayments of debts. An agreement between Germany and the United States provides for German purchases of military equipment which offset the balance of payments impact of U.S. military expenditure in Germany. International consultation has led to a better harmonisation of interest rates, and to other cooperative action to prevent or mitigate disruptive flows of short-term funds. For the first time since the 1930's the U.S. has engaged in foreign exchange operations with a view to evening out temporary fluctuations in exchange markets and to inducing foreigners to continue to hold dollars by providing them with availability of forward cover at a reasonable cost. These operations have been undertaken in close cooperation with the countries concerned, and partly on the basis of foreign exchange borrowed abroad.

26. In spite of this improvement in the underlying position,the outflow of gold from the United States to date in 1962 has been larger than in the corresponding period of 1961. However, foreigners also increased their dollar holdings in the first half of 1962 substantially more than during the first half of 1961, even if allowance is made for dollars accumulated by foreigners as a result of foreign exchange operations by the U.S. monetary authorities.

27. The authorities are aiming at a reasonable equilibrium in overall external accounts about the end of 1963.

28. The dollar is an international currency. This means that it is a currency which foreigners, whether private or official, find it convenient to use and to hold not only because of the transactions which they carry out with the United States, but also as a basis for their transactions with third countries. Private transactions are to a great extent invoiced in dollars, and the U.S. banking system is the ultimate source of much of the commercial credit required for international trade. With respect to foreign monetary authorities, international obligations to maintain the rates of exchange between their respective currencies and the dollar within certain limits, are an obvious reason for the special position of the dollar. Foreign authorities hold a large proportion of their international reserves in the form of dollar assets since the policy of the U.S. Treasury is to sell gold on demand to foreign governments and monetary authorities. Moreover, the size of the U.S. floating debt and the efficiency of the institutions developed to handle it provide foreigners as well as Americans with the possibility of securing interest earnings on their international reserves without sacrifice of liquidity.

Table 5. **World Liquidity** [1)]

Billions of U.S. dollars

	1950	1961
Official gross reserves, all countries	47.7	61.2
of which :		
Gold	33.8	41.2
U.S. dollars [2)]	3.6	11.1
Sterling	9.8	7.6
Other [3)]	0.5	1.3
U.S. short-term liabilities to foreigners, private	3.5	7.8
U.S. Government bonds and notes and liabilities to foreigners, official and private	1.3	1.6

1. Excluding the gold and foreign exchange holdings of the I.M.F.

2. Excluding official holdings of U.S. Government bonds and notes.

3. Mainly a statistical balancing item, but small positive amounts corresponding to French liabilities, EPU/EMA liabilities and BIS deposits are also included.

Sources : International Financial Statistics ; Federal Reserve Bulletin.

29. While it is unlikely that, in the future, foreigners will wish to add to their liquid dollar holdings at as high a rate or for as long as they did in the 1950's, it is reasonable to suppose that some further voluntary accumulation will take place.

II. THE POLICIES REQUIRED

30. U.S. policy has, therefore, to bear three aims in mind. Full

employment conditions need to be restored. A more satisfactory long-term growth rate needs to be achieved and maintained. And the recent improvement in the balance of payments needs to be consolidated.

31. The choice of policies to assure full employment and better growth rates depends on the factors which are thought to have led to the unsatisfactory performance of the last few years. To the extent that the problem requires modifications on the supply side, measures in the field of education and research, labour market policies and regional re-development schemes are of obvious relevance; action along these lines is in fact being taken by the U.S. authorities on an important scale. But for the greater part, the slow growth and high unemployment of recent years cannot be explained in terms of structural deficiencies on the supply side. While part of the existing unemployment is, of course, structural or frictional, the United States authorities feel that even under present circumstances this should not lead to an unemployment rate of more that 4 per cent (and that it should, indeed, be possible to aim at progressively lower rates). The rising unemployment figures of recent years, and the inadequate growth rates that led to them, reflect much more the slow expansion of demand.*

32. In a free market economy, the main instruments available to the Government to influence demand are :

a) fiscal policy - variations in the Government's own expenditure on goods, services and transfers, and changes in taxation;

b) monetary policy and debt management - variations in the cost and availability of credit.

In the United States, fiscal action depends on joint decision by the Congress and the Administration. Debt management and monetary policy are the responsibility of the Administration and the Federal Reserve System.

FISCAL POLICY

33. Federal purchases of goods and services which had risen rapidly during the Korean conflict, were virtually stable in real terms in the second half of the 1950's, and there were no substantial reductions in rates of taxation after 1954. But Federal receipts continued to rise as national income in money terms went on growing and because of the progressive structure of tax rates. This rise in revenue tended to outstrip the increase in expenditure, despite higher prices for government purchases and increases in transfer payments. In other words, the budget has had a tendency to become increasingly counter-expansionary. For example,

* cf. The Joint Economic Committee's study entitled *Higher Unemployment Rates, 1957-1960 : Structural Transformation or Inadequate Demand ?*

in the last quarter of 1960, although the economy was operating well below capacity, and unemployment was at a seasonally adjusted rate of 6.3 per cent, the Federal budget on a national accounts basis showed a deficit of only $0.4 billion (seasonally adjusted annual rate). By contrast, the budgetary position in the second quarter of 1958, when the level of activity was roughly comparable, had been a deficit at an annual rate of $11 billion.

34. Discretionary fiscal action has played only a limited role as a stabilisation instrument, and the stabilising effect of the budget has resulted mainly from the so-called built-in stabilisers – the sensitivity of tax receipts to fluctuations in the level of incomes, and of transfer payments to fluctuations in the level of employment. And, more important, the effect of the secular trend in Federal finances coupled with the disappearance of inflationary expectations in the late 1950's, has led to a situation in which the budget has become increasingly out of line with what would be required to keep the growth of total demand in step with the expansion of potential capacity.

35. Before analysing recent budget policies in greater detail, it is important to distinguish the three separate budgetary concepts in use in the United States. These are :

a) The administrative budget ;

b) The consolidated cash statement ;

c) Government receipts and expenditure on a national accounts basis.

The considerable extent to which these three concepts differ from each other is shown clearly in Table 6. The administrative budget, which receives most public attention, is primarily an instrument for the management and control of those federal activities which are subject to regular Congressional appropriations. The consolidated cash statement, as its name suggests, is primarily relevant to assessing the borrowing needs of the Government. Unlike the Administrative budget, it includes the transactions of the trust funds, which currently are about $25 billion a year. The budget expressed on a national accounts basis includes the transactions of the trust funds. It excludes Government transactions in financial assets, including the loans extended by the Federal Government. Unlike either of the other budget statements, it records Federal transactions at the time of accrual rather than when cash changes hands. The budget expressed on a national accounts basis is a more appropriate concept than either of the others for analysing the direct effect of the budget on private incomes and activity. It is the concept used in the following analysis.

Table 6. **Federal Finances**
Fiscal Years

Billions of U.S. dollars

DESCRIPTION	1959	1960	1961	1962	1963 Estimates[1]
ADMINISTRATIVE BUDGET					
Budget receipts	67.9	77.8	77.7	81.4	85.9
Budget expenditures	80.3	76.5	81.5	87.7	93.7
Budget surplus (+) or deficit (–)	–12.4	+1.2	–3.9	–6.3	–7.8
CONSOLIDATED CASH STATEMENT					
Receipts from the public	81.7	95.1	97.2	101.9	108.9
Payments to the public	94.8	94.3	99.5	107.6	115.1
Excess of receipts (+) or payments (–)	–13.1	+0.8	–2.3	–5.7	–6.3
NATIONAL INCOME ACCOUNTS – FEDERAL SECTOR					
Receipts	85.8	95.5	95.5	104.8[2]	108.8
Expenditures	90.3	92.2	97.7	105.7	113.3
Surplus (+) or deficit (–)	–4.3	+3.3	–2.2	–0.9	–4.5

1. As revised, November 1962.

2. Excluding retroactive effects of 1962 Revenue Act and revised depreciation schedules, both effective from 1st January, 1962.

Source : U.S. Bureau of the Budget and Department of Commerce.

a) *The 1961-1962 Budget*

36. Budgetary policy was eased considerably in 1961, largely as a result of an increase in expenditure. As a result of this, and of the operation of the built-in stabilisers at a time when activity was well below full employment levels, the budget out-turn changed to show a deficit. But the potential surplus which would have been generated by the budget had full employment been achieved remained high, about $8 billion. And thus it was that while the restrictive effect of the budget was moderated by the built-in stabilisers when activity declined, it started to reappear with full force when the recovery got under way. The annual rate of deficit fell from $6.3 billion in the first quarter of 1961 to one of $1.3 billion in the last quarter, a change equal to about one-eighth of the increase in the gross national product and this slowed down recovery. Between the final quarter of 1961 and the second quarter of 1962 the annual rate of the deficit fell to $0.7 billion. Achievement of

full employment in the second quarter of 1962 would have entailed a shift in the balance of the budget of more than $14 billion from the first quarter of 1961. It is difficult to dissociate the slowing down of the recovery in 1962 from the virtual disappearance of the budget as an expansionary factor.

Table 7. **Federal Government Receipts and Expenditure, 1961 and 1962. Income and product account**

Seasonally adjusted at annual rates; calendar year basis; billions of dollars

	1961				1962		
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
RECEIPTS	92.7	97.7	98.9	103.8	105.9	108.4	n.a.
EXPENDITURES	99.0	101.9	102.2	105.1	108.3	109.0	n.a.
Surplus (+) or deficit (–)	– 6.3	– 4.2	– 3.3	– 1.3	– 2.4	– 0.7	n.a.

Source : Survey of Current Business.

b) *The 1962-1963 Budget*

37. The budget programme proposed at the beginning of the present year represented a tightening of fiscal policy. The potential surplus at full employment was estimated at $9 billion, rising to $10 billion in the second half of the fiscal year, (i.e. the first half of calendar 1963).

38. Such a policy would clearly have been appropriate had private demand been strong, and tending to exceed domestic capacity, as in the early post-war years. In that period, when pent-up demand from the war was accompanied by large liquid balances in the hands of business and the public, budget surpluses had served the useful function of restricting private demand and inflation. Similarly, in the 1960's, should private demand become excessive when full employment has been restored, a budget surplus would be appropriate for preventing inflation. But the immediate problem is neither to prevent inflation nor to increase savings for investment; it is, rather, to create sufficient demand so that the economy can achieve a more satisfactory level of activity than it has experienced in the last five years.

39. The fundamental difference between present conditions and those of the early post-war period is that inflationary expectations have disappeared and that industry has been operating well below capacity for a number of years, with a decline in the propensity to invest. If a large potential budget surplus at full employment is maintained in these conditions, an expansion of activity and incomes tends to generate an

excess of savings over investment, with the result that the expansion is unduly restrained – or reversed.

40. Certain steps have already been taken, since the budget proposals were introduced, to reduce the potential surplus of the budget at full employment. The liberalisation of depreciation allowances may reduce revenues in 1962-1963 by about $ 1 billion, and the investment tax credit should reduce revenues by $ 1 billion in a full year. Moreover, the President has announced that a tax reform bill, including an across-the-board cut in both corporate and personal income taxes, will be presented to Congress for action next year. Whether the scope and timing of these measures will be consistent with the early achievement of full employment cannot yet be determined. An outside observer gets a strong impression that appropriate fiscal action may be hindered by the existence of a number of constraints, some of which are not found in most European countries.

CONSTRAINTS ON FISCAL POLICY

41. The slowness of fiscal procedures and the uncertainties of short-term forecasting have served to limit the use that has been made of budgetary policy as an anti-cyclical weapon. Budget proposals have to be worked out by the Administration a long time in advance, and clearly there is a risk that by the time they are adopted and take effect, the situation may have changed. It would therefore seem highly desirable that the Government should possess stand-by authority to increase or reduce taxes and expenditures so as to be able to adjust fiscal policy to changing circumstances. In line with the recommendations recently made by the Commission on Money and Credit, the Administration has requested authority, in such cases, to make temporary counter-cyclical reductions in individual income taxes and for a stand-by public works programme and a permanent strengthening of the unemployment insurance system.

42. Expansionary fiscal action in the last two years has also been restrained by the assumption that, under full employment conditions, investment would tend to exceed private savings, and that an adequate rate of national savings would have to be secured by a surplus on government account; moreover, it is argued that if the full employment surplus of the budget were reduced substantially to promote recovery, it might be difficult to restore it to an adequate level later. This argument would not, however, seem to be an appropriate guide to policy when it is doubtful whether a full employment level could be approached without some prior budgetary relaxation.

43. Fears have been expressed that a more expansionary fiscal policy might hamper the continued improvement in the balance of payments

or lead to renewed pressure on costs and prices. In assessing such dangers, it is important to bear in mind the fact that, apart from possible psychological effects, it would not be the change in the budget itself that caused the adverse effects, but rather the subsequent expansion of economic activity which it is the generally agreed objective of policy to secure.

44. The Federal budget, apart from foreign aid and military expenditure abroad, has little direct impact on the balance of payments. But it has of course an important indirect effect via its impact on private incomes and the trend of activity. The possible adverse effect of a higher level of incomes is difficult to estimate with any precision, but in present conditions it would seem likely to be moderate. A more expansionary budget and faster growth would lead to higher imports; full employment in mid-1962 would probably have raised the import bill by at least $ 1 billion annually. But there would be many offsets.

45. First, U.S. imports weigh heavily in the export earnings of certain other countries, notably Canada and Latin America, and the United States could reasonably expect higher imports from such countries to be followed by higher exports to them. Canada and Latin America alone take about 35 per cent of U.S. exports.

46. Second, there would be important offsets on capital account. The amount of funds raised by foreigners in the United States has shown large cyclical fluctuations in recent years, rising when domestic demand for credit was weak and vice versa. The fact that foreign lending is at all times high is, no doubt, the natural reflection of the existence of well-developed credit and capital markets in the United States; but the rather substantial fluctuations in the level of such lending seem to be strongly related to the movement of economic activity and demand for credit inside the country. This movement has been influenced not only by the course of interest rates, but by changes in the availability of credit as well. When monetary conditions are easy and domestic credit demand weak, U.S. banks are interested in doing business abroad. When economic activity is high and domestic credit demand strong, less funds are available for lending abroad.

Table 8. **Funds Raised by Foreigners in U.S. Credit and Equity Markets**

Billions of U.S. dollars

1957	1.4	1960	2.0
1958	2.3	1961	2.7
1959	0.8		

Source : Federal Reserve Bulletin, Flow of Funds Statistics.

47. In the somewhat longer run, stronger expansion at home is also likely to reduce the volume of U.S. direct investment abroad. While such investment has partly been determined by a number of factors external to the United States, it has no doubt been influenced by the slack conditions prevailing in the United States in recent years and the fact that many foreign countries, particularly in Europe, were expanding faster. Stronger expansion at home will increase the relative attractiveness of the United States as a market in which to invest, both for domestic and foreign enterprises. In recent years, U.S. direct investment abroad has averaged $1.5 billion a year, while foreign direct investment in the United States has been negligible.

48. Stronger economic growth, with advances in productivity and technology, should also enable U.S. goods to compete more effectively with foreign products, both in the United States and abroad - so long as the accelerated advance in productivity is not accompanied by excessive increases in costs and prices. In the near future, even with a strong revival of the expansion, prices should remain relatively stable. With the present margin of spare capacity the danger of excessive demand pressures would not seem imminent. The maintenance of price stability may certainly become more difficult as the level of employment rises. But this should be regarded as a challenge to policy to devise new means of handling the problem, rather than as an argument for holding down the level of employment. The development of an incomes policy encounters many economic and social difficulties, and no standard solution, appropriate to all countries and to all periods, exists. But efforts to keep the movement of money incomes in line with the growth of real resources are clearly essential for the maintenance of price stability, and the United States has already made considerable efforts in this direction. The competitive forces in the economy have been strengthened by more active enforcement of the anti-trust laws, by the maintenance of a liberal import policy and by clear statement of the public interest in respect of important wage and price decisions. Guideposts for non-inflationary wage and price behaviour have been published.

49. Two particular objections have frequently been raised against deficits in the Federal budget. First, any increase in the public debt is felt to be undesirable. Second, there is an impression that a budget deficit must, in any circumstances, lead swiftly to inflation. These views are based on criteria which virtually exclude from consideration the effects of budget policy on employment and activity.

50. Certain sections of U.S. public opinion seem to be wedded strongly to the views that reductions in the public debt and the scale of Federal operations should be leading objectives of economic policy.

In so far as this represents a clear-cut judgment that, on political grounds, these objectives are to take precedence over full employment and growth, no further economic argument is relevant. It is likely, however, that the more prevalent attitude is a general, rather vague, feeling of disquiet at the size and frequency of budget deficits. This attitude is very largely based on three misunderstandings.

51. First, there is a widespread belief that the public debt has been rising strongly in absolute terms, and faster than the indebtedness of other sectors of the economy. In fact, as Table 9 shows, the opposite has been the case.

Table 9. **Public and Private Debt, Net**

Fiscal Years

Billions of U.S. dollars

	1946	1961	INCREASE PER CENT[1]
Federal government[2]	230	248	8
State and local government	14	65	378
Corporate sector	94	312	233
Non-corporate sector	61	312	415
Total	399	937	136

1. Calculations based on rounded data. 2. Held by the public.

Source : United States Department of Commerce.

52. Second, the size of the public debt is important not in absolute terms, but only in relation to the economy as a whole. In fact, although the absolute size of the Federal debt has increased somewhat in the post-war period, as a percentage of the gross national product it declined from 133 per cent in 1946 to 57 per cent in 1961; on the same basis the interest payments entailed fell from 2.4 per cent to 1.8 per cent. Under these circumstances, the additional burden represented by the sort of modest increase of debt at present being discussed would hardly be perceptible – particularly inasmuch as an immediate result of the increased debt would be the further growth of the national income.

53. Third, the return to full employment conditions and a better growth rate that a budget deficit would stimulate would, by its effect on tax yields, serve progressively to reduce the size of the deficit and restore a budget surplus. It is important to appreciate that the out-turn of the budget is determined not only by whether budgetary policy is more restrictive or less restrictive, but also by the level of activity which that policy induces. Budgetary policy as measured by the full employment

surplus has been relatively strict in the last five fiscal years; but because of the slack in the economy, deficits averaging $3.5 billion a year have been incurred. This contrasts strongly with the balanced budget position achieved in the first half of the 1950's as a whole, when the effect on the budget of rising defence expenditure was largely offset by the rising level of economic activity and, therefore, of tax yields.

54. A deficit on the Federal budget is inflationary if it occurs under circumstances in which the level of investment would otherwise equal or exceed the volume of savings which could be expected at full exployment and stable prices. What is being called for in the present case is that the Federal Government should incur deficits as investment would otherwise fall short of the savings at full employment. The essential role of the budget, in a modern economy, must be to promote full employment without resort to inflation, and it is in this light that budgetary policy needs to be judged. To consider the budget only in the light of its impact on the national debt is virtually to deprive the Government of its power to create an economic climate which is conducive, simultaneously, to growth and stability. It is very essential that the public should understand the true impact of deficit financing under existing conditions, because this could well be a case in which imperfect understanding of the economic process can largely frustrate the aims of policy.

55. This understanding will be facilitated if a clear distinction can be made between the appropriateness or otherwise of a budget deficit on the one hand, and the means whereby any such deficit is financed on the other. The decision whether to aim at a budget deficit needs to be taken in the light of the existing balance of the economy, whereas policies concerning the means whereby deficits are financed must be considered in a longer-run context. If the Government substantially increases its total stock of short-term liabilities, it is storing up potential monetary claims - i.e. potential inflationary pressures - for the future. The less liquid the form of any increase in Government debt, the smaller the future inflationary danger. But this involves the general question of debt management; the way in which new Treasury debt is financed cannot be considered in isolation from general debt management policy.

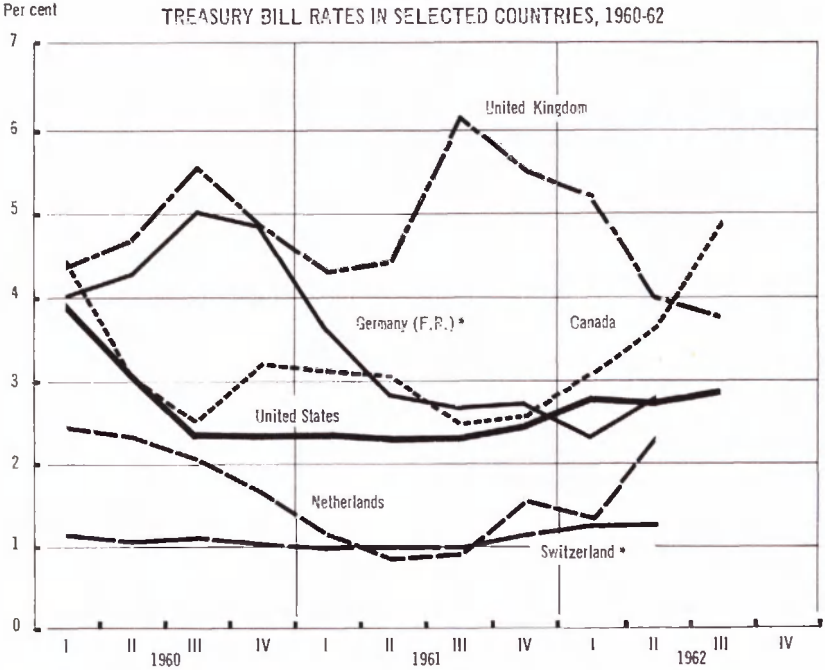
MONETARY AND DEBT MANAGEMENT POLICIES

56. The natural consequence of the constraints on fiscal action has been the use of monetary and debt management policies as the main instruments of stabilisation policy. The counter-expansionary trend of the Federal budget since the middle of the 1950's has been accompanied by pressure towards easier monetary policies. With the emergence of the

balance of payments problem in the late 1950's, a conflict arose between internal and external policy requirements, since monetary conditions and interest rates impinge directly on international capital movements, particularly the flow of short-term funds. In the last two years active measures have been taken to resolve this conflict. While taking care to ensure adequate liquidities in the economy, the U.S. authorities have operated so as to moderate downward pressure on short-term interest rates to discourage the outflow of liquid funds, while allowing downward pressure on long-term rates rather more than on short-term rates, thus facilitating the flow of long-term funds vital to economic recovery. In the middle of 1962, long-term interest rates were little changed – on balance slightly lower – than at the cyclical trough in February, 1961, and below the levels prevailing at the corresponding stage of the 1958-1959 recovery. Short-term interest rates, on the other hand, have been maintained in reasonably consistent relationships with rates abroad.

Diagram 5

TREASURY BILL RATES IN SELECTED COUNTRIES, 1960-62



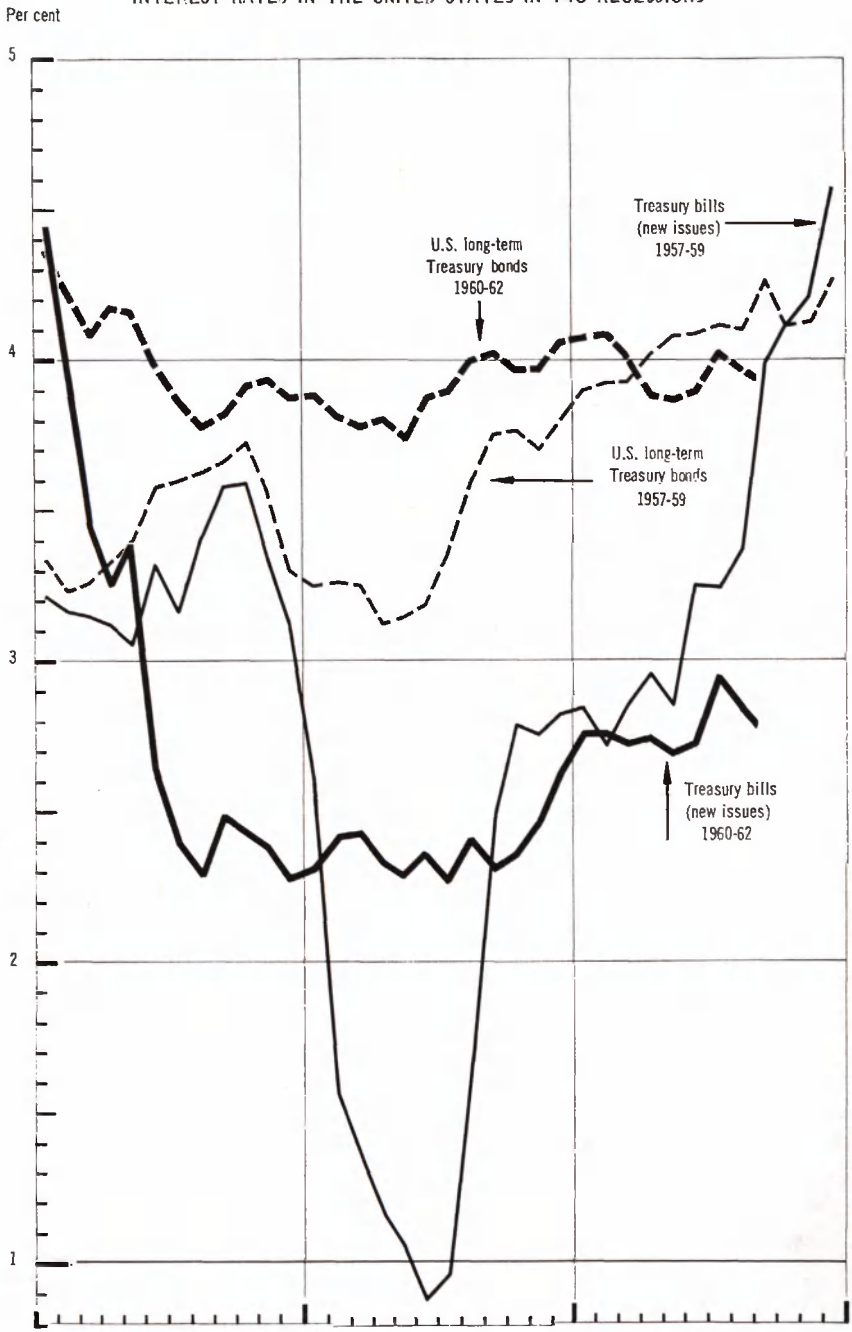
Source: O.E.C.D. General Statistics.

* Call money rates.

57. The Federal Reserve, in implementing this policy, made net purchases of about $2.6 billion of U.S. Government securities during the year ending mid-1962. Part of these purchases were made to offset factors that would otherwise have tended to reduce bank reserves, and

Diagram 6

INTEREST RATES IN THE UNITED STATES IN TWO RECESSIONS



Source: Survey of Current Business.

they resulted in a net increase of about $900 million in Bank reserves. The free reserves of the banking system (excess reserves less borrowings from the Federal Reserve) have been maintained at about $ 400 to $500 million. The amount of these reserves has remained substantially positive for a much longer period than in the two previous periods of monetary ease.

Table 10. Money and Banking

	1961				1962	
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.
FEDERAL RESERVE BANKS CONDITION *(Millions of U.S. dollars)*[1]						
1. Reserve bank credit outstanding	28,030	28,304	29,080	31,217	30,063	31,265
of which						
2. Member bank borrowing	70	63	37	149	91	100
3. U.S. Government securities	26,813	26,935	27,563	29,098	28,570	29,568
4. Total reserves held	18,809	19,042	19,372	20,118	19,547	19,924
5. Member-bank free reserves	476	549	547	419	379	371
ALL COMMERCIAL BANKS *(Billions of U.S. dollars)*[2]						
6. Total loans and investments	198.2	201.9	206.7	209.6	215.2	220.3
7. Loans	115.3	115.9	117.4	121.1	123.8	126.6
8. Investments	82.8	85.9	89.3	88.5	91.4	93.7
of which						
9. U.S. Government securities	61.2	63.8	66.1	64.7	66.1	66.6

1. Monthly averages of daily figures.

2. Seasonally adjusted data for last Wednesday of month except for June 30th and December 31st call dates : inter-bank loans excluded.

Source : Federal Reserve Bulletin.

58. Furthermore, in order to provide reserves in a way that would minimise the decline in short-term interest rates, the Federal Reserve made large purchases of Government securities with maturities of over one year, thus continuing the policy of operating in all maturity sectors announced in February 1961. Such purchases also tended to hold down long-term interest rates relative to short-term rates, thereby encouraging domestic demand. Treasury debt management operations have been integrated with the open-market operations of the Federal Reserve. New cash financing has been concentrated in the short-term area, but at the same time a number of advance refunding operations have helped to lengthen the average maturity of the public debt.

59. The expansion in bank reserves made possible a rise of $18.4 billion in bank loans and investments over the year ending mid-1962. But with demand remaining sluggish, business loans rose by about $3 billion. Weak credit demand and relatively high liquidity put pressure on banks to lend directly in the capital market and abroad. There was a fairly moderate increase in bank holdings of U.S. Government securities ($ 2.8 billion) but a record increase in holdings of State and local government securities and substantial expansion in mortgages and other long-term investments. This development was aided by the fact that savings and time deposits in commercial banks rose sharply after the maximum interest rates payable on them were increased, i.e. as from 1st January 1962.

60. With the disappearance of inflationary expectations and with the very moderate extent of the expansion, stock prices fell sharply in the first half of 1962, thus increasing the cost of equity financing. The summer months saw some recovery. In July the Federal Reserve reduced margin requirements on stocks from 70 to 50 per cent.

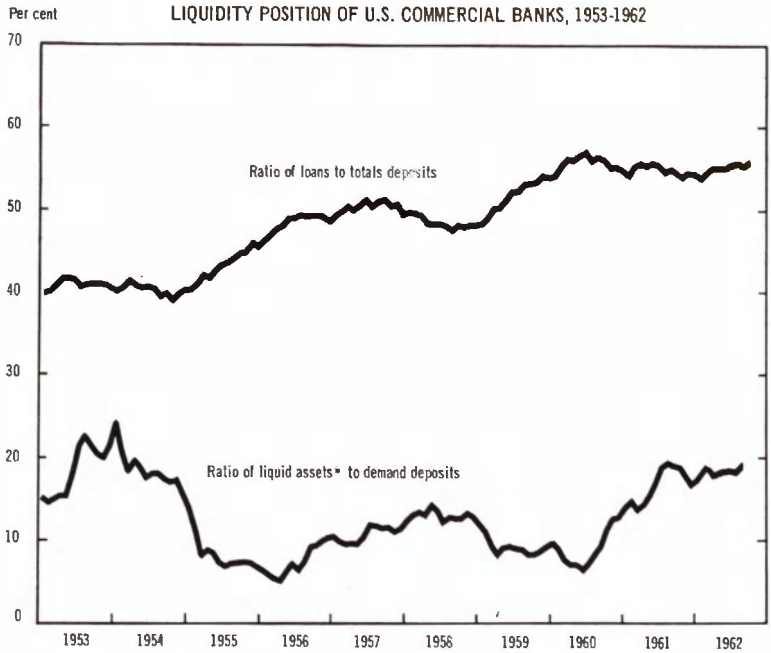
61. The fact that credit conditions have remained relatively easy throughout the recovery period can to a large extent be ascribed to the early slowing down of the expansion rather than to an excessive increase in liquidities. The money supply, defined as demand deposits and currency, has risen by only 2 per cent since mid-1961. Practically the whole of the increase in bank deposits has been in savings and time deposits. The money supply defined so as to include both demand and time deposits rose by 7 per cent, in line with the expansion of the real gross national product. As a percentage of the gross national product the money supply has generally been declining since the war, and over the last year it has remained at its post-war low.

62. The liquidity position of commercial banks can be measured in various ways. The ratio of loans to deposits, which has shown a rising trend in the post-war period, reached a peak of 57.1 per cent in mid-1960. It declined during the subsequent recession as it typically does in such periods, and has shown little tendency to rise during the present recovery. Nevertheless, the loan/deposit ratio in mid-1962 was about 2.5 per cent below the post-war peak. According to another measure, the ratio of government securities maturing within one year plus free reserves to demand deposits, the banks' liquidity position has eased considerably over the last year, largely because of weak domestic credit demand. On balance, bank liquidity would not seem to be excessive.

63. In short, relatively easy monetary conditions combined with an insufficiently easy budgetary policy have not led to an increase in business investment strong enough to achieve full recovery. At the same

Diagram 7

LIQUIDITY POSITION OF U.S. COMMERCIAL BANKS, 1953-1962



* Government securities maturing within one year, plus free reserves.

Source: Federal Reserve System.

time, while it is difficult to say how big an effect these easy monetary conditions have had on financial flows from the U.S. to other countries, it must be supposed that the maintenance of supplies of credit which were ample in relation to the demand enlarged an outflow, which the maintenance of relatively high short-term interest rates served to restrain but not to arrest.

64. While an adequate liquidity base is a necessary condition for expansion, it does not seem to be a sufficient one when – as at present – there is considerable slack in the economy. And in this situation there must be some doubt whether the recently introduced more liberal depreciation allowances and investment tax credit will encourage a sufficiently strong increase in investment. In these conditions the budget is likely to be the more effective instrument to stimulate demand because of its direct impact on personal and business incomes. An easier fiscal policy would allow greater freedom in monetary and debt management policies.

III. CONCLUSIONS

65. At the risk of over-simplification, the conclusions of this survey may be summarised as follows :

i) The United States needs to raise its growth rate substantially above that experienced since the middle of the 1950's. The present rate falls well short of what can reasonably be expected, given the increase in population and the scope for higher productivity. And a substantial acceleration is needed if the United States is to play an appropriate role in achieving the 50 per cent growth target which the O.E.C.D. has set for the 1960's.

ii) The major problem underlying the unsatisfactory experience of recent years has been the persistent weakness of demand. Had demand risen more strongly and continuously, there is no doubt that output would have responded satisfactorily, though it might have intensified the balance of payments problem.

iii) It seems unlikely that demand from the private sector will, by itself, prove sufficiently buoyant to put the economy back on to a more appropriate long-term growth trend. The amount of unutilised capacity which at present exists will continue to have a dampening influence on business investment, offsetting the incentives provided by monetary policy and special tax measures to stimulate capital formation. And it is unlikely that private consumption will rise faster than other types of expenditure.

iv) Under these circumstances, a greater stimulus from the Federal budget would seem necessary to offset the weakness of private demand, a stimulus that could be provided by tax reductions, by higher Federal expenditure or by a combination of the two. This may well entail some temporary resort to deficit budget financing; but the quicker the economy regains the full-employment level the shorter will be the period during which deficits are incurred. It is greatly to be hoped that the fiscal changes to be proposed to Congress in 1963, when added to those recently adopted, will be adequate in scope and timing to permit the early absorption of the present slack in the economy.

v) In the short run stronger expansion involving increased imports will tend somewhat to decrease the balance of payments surplus on current account. But the government's efforts to promote exports and increase invisible earnings should counteract this tendency, given the cooperation of other Member countries. Rising activity at home should somewhat reduce the outflow on capital account, increasing the attractiveness of investment at home relative to investment abroad. Confidence in the dollar depends in good part on a strong domestic economy; it is unlikely to be fostered for any length of time by policies which keep the level of activity low.

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STATISTICAL ANNEX

Table I. NATIONAL PRODUCT AND

	PERSONAL CONSUMPTION EXPENDITURES	GROSS PRIVATE DOMESTIC INVESTMENT	NEW CONSTRUCTION
	1	2	3
1950	216.8	55.9	27.4
1951	218.5	57.7	26.0
1952	224.2	50.4	26.0
1953	235.1	50.6	27.6
1954	238.0	48.9	29.7
1955	256.0	62.5	33.9
1956	264.3	61.7	32.3
1957	271.2	58.1	31.8
1958	273.2	49.0	31.1
1959	288.9	61.7	34.4
1960	298.3	60.7	34.3
1961	304.3	57.8	34.8
1960 1) 1st quarter	295.6	66.7	34.6
1960 1) 2nd quarter	299.7	61.5	34.2
1960 1) 3rd quarter	299.1	58.6	34.0
1960 1) 4th quarter	298.8	55.8	34.3
1961 1) 1st quarter	298.2	50.0	33.0
1961 1) 2nd quarter	302.5	56.5	34.3
1961 1) 3rd quarter	306.0	60.4	35.6
1961 1) 4th quarter	310.6	64.1	36.1
1962 1) 1st quarter	313.9	63.3	34.6
1962 1) 2nd quarter	316.9	64.1	36.7

1) Seasonally adjusted quarterly totals at annual rates.

SOURCE : Department of Commerce.

XPENDITURE IN CONSTANT (1954) PRICES

Billions of dollars

PRODUCERS' DURABLE EQUIPMENT	NET CHANGES IN BUSINESS INVENTORIES	NET EXPORTS OF GOODS AND SERVICES	GOVERNMENT PURCHASES OF GOODS AND SERVICES	FEDERAL	STATE AND LOCAL	GROSS NATIONAL PRODUCT
4	5	6	7	8	9	10
21.3	7.2	0.2	45.1	21.6	23.5	318.1
22.0	9.7	2.2	63.3	39.3	24.1	341.8
21.8	2.6	1.2	77.7	53.3	24.5	353.5
22.5	0.5	-0.9	84.3	58.8	25.5	369.0
20.8	-1.6	1.0	75.3	47.5	27.7	363.1
22.5	6.1	0.9	73.2	43.5	29.7	392.7
25.0	4.5	2.5	72.3	41.7	30.6	400.9
24.6	1.6	3.8	75.5	43.2	32.2	408.6
19.4	-1.5	-0.2	79.3	44.5	34.8	401.3
21.4	5.9	-2.1	80.1	43.9	36.2	428.6
22.7	3.7	1.5	79.8	42.3	37.4	440.2
21.1	2.0	1.8	84.0	44.5	39.4	447.9
22.6	9.6	0.2	78.4	42.0	36.4	440.9
23.3	4.0	1.0	80.0	42.9	37.1	442.3
22.7	1.9	1.5	80.5	42.7	37.8	439.7
22.2	-0.7	3.3	79.9	41.8	38.1	437.7
20.1	-3.0	3.5	82.2	42.9	39.2	433.9
20.2	2.0	1.7	83.3	44.4	38.9	443.9
21.3	3.5	0.7	83.3	44.1	39.2	450.4
22.7	5.4	1.4	87.2	46.7	40.5	463.4
22.8	5.9	1.3	88.9	48.3	40.6	467.4
23.8	3.7	0.7	89.2	48.6	40.6	470.8

Table II. PRODUCTION, EMPLOYMENT

	UNIT OR BASE	1960	1961
INDUSTRIAL PRODUCTION (seasonally adjusted indices)			
1. Total[1]	1957 = 100	108	109
2. Manufactures	(averages)	108	109
3. Durable manufactures[2]	"	104	103
4. Primary metals	"	90	88
5. Fabricated metals	"	106	105
6. Transportation equipment	"	102	97
7. Non-durable manufactures[2]	"	113	117
8. Food and beverages	"	109	113
9. Textile-mill products	"	109	111
10. Petroleum products	"	108	110
11. Mining	"	97	98
MANPOWER			
12. Total labour force, including armed forces[3]	thousands	73,126	74,175
13. Civilian labour force, total	(monthly	70,612	71,603
14. Employed	averages	66,681	66,796
15. Unemployed	seasonally	3,931	4,806
16. Unemployment as % of civilian labour force (seasonally adjusted)	adjusted) percentage	5.6	6.7
MANUFACTURERS' NEW ORDERS NET (seasonally adjusted)			
17. Total	$ billions	29.90	30.96
18. Durable goods industries	(monthly	14.24	14.74
19. Non-durable goods industries	averages)	15.66	16.23
MANUFACTURERS' UNFILLED ORDERS (Unadjusted)			
20. Total	$ billions	45.37	48.20
21. Durable goods industries	(end of period)	42.85	45.12
22. Non-durable goods industries	"	2.52	3.08
23. MANUFACTURERS' INVENTORIES (book value, seasonally adjusted)	$ billions (end of period)	53.74	55.20
MANUFACTURERS' SALES (seasonally adjusted)			
24. Total	$ billions	30.41	30.73
25. Durable goods industries	(monthly	14.68	14.54
26. Non-durable goods industries	averages)	15.73	16.18
PERSONAL INCOME (quarterly totals seasonally adjusted at annual rates)			
27. Total	$ billions	400.8	416.4
28. Wage and salary disbursements	"	271.3	278.8
29. Other labour income	"	11.0	11.4
30. Proprietors' income	"	46.2	47.9
31. of which : Farm	"	12.0	13.1

1) This index includes utilities in addition to the major product groups shown separately.
2) These indices cover other products in addition to items 4-6 and 8-10.

SOURCE : Department of Commerce, Department of Labor and Federal Reserve System.

1961				1962		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER
102	108	112	114	115	117	119
102	108	112	114	115	118	119
95	102	107	109	110	114	115
72	88	97	97	103	93	88
96	104	108	111	111	116	118
88	98	100	105	105	111	116
111	116	119	121	121	123	124
110	112	114	116	116	116	116
102	109	116	118	119	122	123
106	110	114	112	111	114	115
97	97	98	101	99	101	102
74,367	74,135	73,998	74,128	74,554	74,552	74,818
71,838	71,623	71,468	71,409	71,683	71,680	72,002
66,834	66,603	66,646	66,969	67,706	67,714	67,928
4,868	4,968	4,892	4,469	4,027	3,928	4,071
6.8	6.9	6.8	6.3	5.6	5.5	5.6
29.15	30.83	31.86	32.73	32.99	32.74	33.16
13.35	14.69	15.46	16.14	16.21	15.71	16.07
15.80	16.14	16.40	16.59	16.78	17.03	17.08
45.59	45.95	47.40	48.20	49.20	47.45	47.07
42.72	42.79	44.30	45.12	46.04	44.27	44.14
2.87	3.16	3.11	3.08	3.16	3.18	2.93
53.31	53.36	54.44	55.20	56.57	56.91	57.13
29.08	30.56	31.28	32.11	32.70	33.31	33.46
13.39	14.46	14.92	15.52	15.93	16.23	16.36
15.69	16.10	16.36	16.59	16.77	17.09	17.10
405.4	413.5	419.4	427.3	432.0	439.5	442.6
270.1	277.5	281.0	286.1	289.9	296.1	297.8
10.8	10.8	11.4	11.6	12.0	12.3	12.4
46.5	47.2	48.1	49.6	49.2	49.5	49.7
12.8	12.7	13.1	13.6	12.9	12.8	12.8

3) Total labour force includes unadjusted armed forces data since no seasonal correction is needed for that series. Data from 2nd quarter 1962 onwards are not comparable with prior data ; to obtain comparability add 212, 000 to total and civilian labour force, 205, 000 to employed and 8, 000 to unemployed.

Table III. PRICI

	UNIT OR BASE	1960	1961
1. AVERAGE HOURLY GROSS EARNINGS IN ALL MANUFACTURING INDUSTRIES	dollars (monthly aver.)	2.26	2.32
2. CONSUMER PRICE INDEX (U.S. Department of Labor)	1957-59 = 100 (monthly aver.)	103.1	104.2
of which :			
3. Food	"	101.4	102.6
4. All items except food	"	101.8	102.1
5. Services	"	105.6	107.6
6. WHOLESALE PRICE INDEX	1957-59 = 100 (monthly aver.)	100.7	100.3
of which :			
7. Farm products	"	96.9	96.0
8. Commodities other than farm products and foods	"	101.3	100.8

SOURCE : Survey of Current Business.

Table IV. GOVERNMENT RECEIPTS AND EXPENDITURE

Seasonally adjusted at annu

	1958	1959	1960	1961
Federal Government Receipts	78.5	90.3	96.9	98.3
- Personal tax and non-tax receipts	36.6	40.4	44.0	45.0
- Corporate profits tax accruals ...	17.7	22.0	21.2	21.0
- Indirect business tax and non-tax accruals	11.9	13.0	14.1	13.9
- Contributions for social insurance	12.4	14.9	17.6	18.4
Federal Government Expenditures	87.9	91.4	93.1	102.1
- Purchases of goods and services	52.6	53.6	53.2	57.0
- Transfer payments	21.3	22.2	23.8	27.4
- Grants-in-aid to State and local government	5.4	6.7	6.3	7.0
- Net interest paid	5.6	6.4	7.1	6.6
- Subsidies less current surplus of government enterprises	3.0	2.5	2.8	4.1
Surplus (+) or deficit (-) on income and product account	-9.4	-1.1	3.8	-3.8

p) Preliminary.
SOURCE : Survey of Current Business.

AND WAGES

1961				1962		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER
2.29	2.32	2.32	2.36	2.38	2.39	2.38
103.9	103.9	104.4	104.6	104.8	105.2	105.7
102.8	102.5	102.9	102.1	102.9	103.4	104.1
101.6	101.6	102.3	102.8	102.2	102.7	102.8
107.0	107.4	107.7	108.2	108.9	109.4	109.8
101.0	100.0	100.0	100.1	100.7	100.2	100.7
98.1	94.8	95.7	95.5	98.2	96.1	98.2
101.2	100.8	100.6	100.7	100.9	100.8	100.7

1961 AND 1962. INCOME AND PRODUCT ACCOUNT

rates ; calendar year basis

Billions of dollars

1961				1962p)		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER
92.7	97.7	98.9	103.8	105.9	108.4	
43.3	44.7	45.1	46.7	48.0	49.2	49.9
18.3	20.6	21.3	23.7	23.0	23.4	
13.1	14.1	13.9	14.7	14.6	15.2	14.9
18.0	18.3	18.6	18.8	20.3	20.5	20.5
99.0	101.9	102.2	105.1	108.3	109.0	110.5
55.4	56.6	56.5	59.5	61.9	62.1	63.5
26.6	27.3	27.7	27.8	28.0	28.0	28.5
7.0	7.0	7.0	7.0	7.5	7.9	7.4
6.9	6.7	6.5	6.4	6.6	6.7	6.8
3.0	4.3	4.5	4.4	4.3	4.3	4.3
-6.3	-4.2	-3.3	-1.3	-2.4	-0.7	

Table V. FOREIGN TRADE

	UNIT OR BASE	1959	1960	1961
1. Treasury gold stock	$ billions (end of period)	19.46	17.77	16.89
2. Short-term claims on foreigners	"	2.62	3.61	4.70
3. Short-term liabilities to foreign countries reported by banks in the United States	"	16.23	17.37	18.75
4. Volume of imports	1953 = 100	145	140	137
5. Volume of exports	"	104	120	119
6. Average value of imports	"	99	100	99
7. Average value of exports	"	106	107	110
8. Terms of trade	"	107	107	111

p) Preliminary.
1) End of October, $15.98 billion.
2) August.
3) July.

SOURCES : Federal Reserve Bulletin, General Statistics (O.E.C.D.).

AND PAYMENTS

1961				1962 p)		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER
17.39	17.55	17.38	16.89	16.61	16.43	16.07 1)
3.97	4.12	4.16	4.70	4.87	4.78	4.72 2)
17.22	17.54	18.51	18.75	18.80	19.54	19.21 2)
129	132	140	150	150	155	154 3)
121	118	113	126	119	133	118 3)
99	98	99	98	97	97	96 3)
109	111	110	111	112	110	110 3)
110	113	111	113	115	113	115 3)

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